ECON 0100 | Vignette E1 Long | Costs

{++*Extra practice on cost curves, not run in class or Recitation. It is not one of the three practices that unlock a skill.*++}

As an economics student at Hogwarts, the Ministry of Magic has tasked you with analyzing the impact of policy proposals on three firms in the cauldron industry, given their distinct cost structures:

The Cauldron Co. is a large, established firm producing high-quality cauldrons with traditional methods. They have high fixed costs but low, constant marginal costs due to economies of scale.

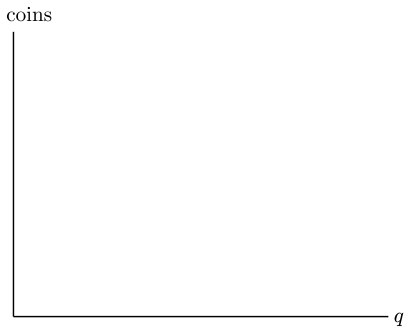
The Witching Hour is a smaller firm specializing in novelty cauldrons. They have moderate fixed costs but increasing marginal costs due to specialized production.

Nimbus Cauldron Works is a new entrant producing low-cost, mass-produced cauldrons made to order by a contract foundry. They have no meaningful fixed costs, and low constant marginal costs.

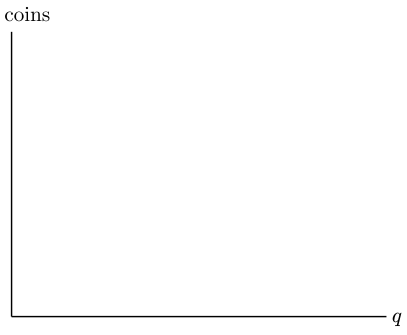
Q1 | Cost Curves

Graph all three firms' average total cost and marginal cost curves.

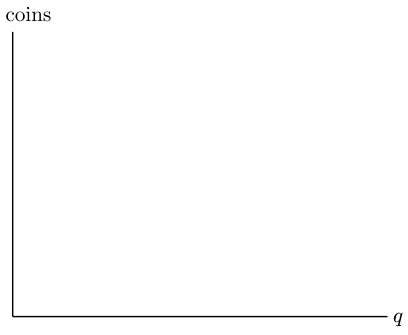
The Cauldron Co.



The Witching Hour



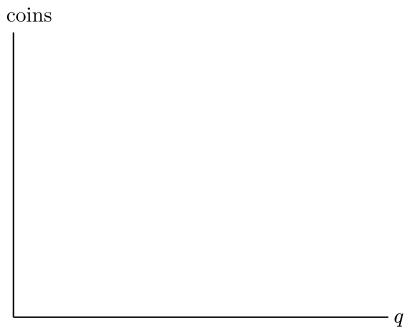
Nimbus Cauldron Works



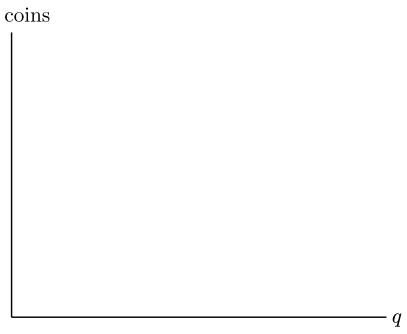
Q2 | Lump Sum Tax

Model a lump sum tax on each of the three firms.

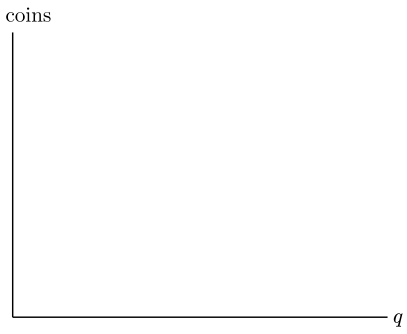
The Cauldron Co.



The Witching Hour



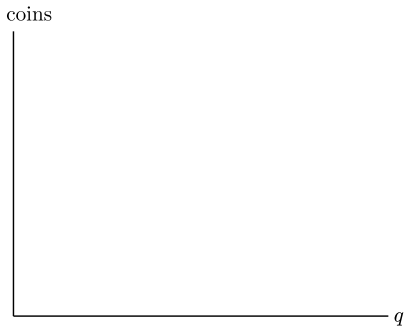
Nimbus Cauldron Works



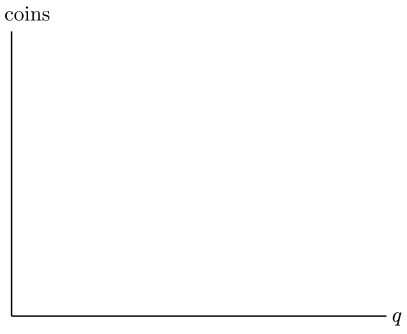
Q3 | Per Unit Tax

Model a per unit (*called specific*) tax on each of the three firms.

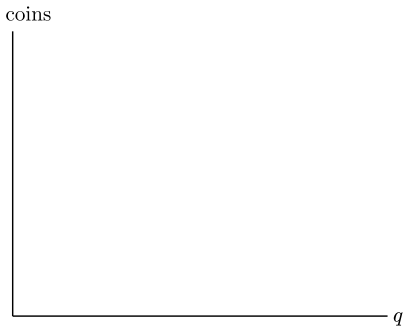
The Cauldron Co.



The Witching Hour



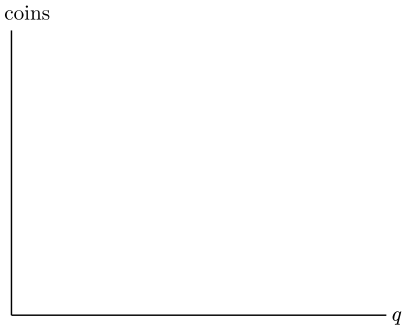
Nimbus Cauldron Works



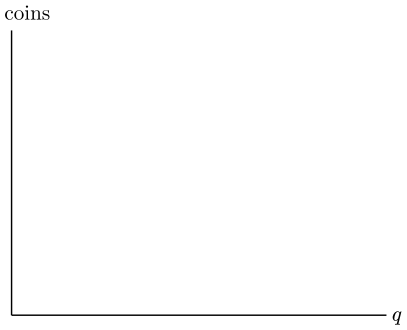
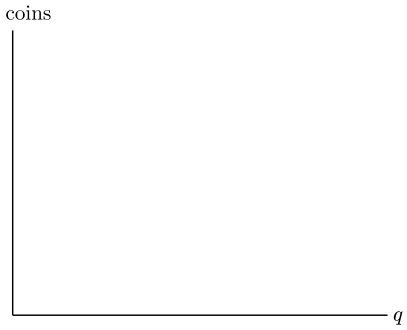
Q4 | Per Unit Subsidy

Model a per unit (*called specific*) subsidy on each of the three firms.

The Cauldron Co.



The Witching Hour



Nimbus Cauldron Works